New Jersey State Financial Profile

New Jersey features highly progressive state tax policies alongside a robust infrastructure. The state has a multi-bracket gross income tax structure and frequently records some of the highest effective property tax rates in the nation.

Financial Questions & Answers

Q1: What is New Jersey's top marginal individual income tax rate?

A: New Jersey utilizes a highly progressive gross income tax system across multiple brackets, peaking at a top marginal rate of 10.75% for individual incomes exceeding $1 million.

Q2: What is the state sales tax rate in New Jersey?

A: The uniform statewide general sales and use tax rate is 6.625%. Certified businesses operating in designated Urban Enterprise Zones (UEZs) are permitted to charge a reduced rate of 3.3125%.

Q3: How are property taxes structured and managed in New Jersey?

A: Property taxes are levied entirely at the local municipal level to fund counties, school districts, and municipal operations. Real estate is assessed at its full fair market value, yielding high average effective rates.

Q4: Does New Jersey offer state-level property tax relief?

A: Yes. The state administers programs like the ANCHOR property tax relief program, which provides direct financial rebates to qualifying homeowners and renters based on income limits.

Q5: What are the corporate tax parameters in New Jersey?

A: New Jersey imposes a Corporation Business Tax (CBT) on net income allocated to the state, which includes a graduated rate scale peaking at a top bracket of 9.00%, plus applicable surcharges for top-earning corporations.

State Cost of Living (COL) Index Appendix

Metric Class	Index Value (Base 100.0)
Composite Cost of Living	114.1
Housing Cost Index	131.4
Income Tax Burden Structure	1.40% - 10.75% Progressive